

This copy is for your personal, non-commercial use only. Distribution and use of this material are governed by our Subscriber Agreement and by copyright law. For non-personal use or to order multiple copies, please contact Dow Jones Reprints at 1-800-843-0008 or visit www.djreprints.com.

<https://www.wsj.com/articles/pg-e-scraps-tree-trimming-program-once-seen-as-key-to-fire-prevention-97a1ac5e>

◆ **WSJ NEWS EXCLUSIVE** | BUSINESS

PG&E Scraps Tree-Trimming Program Once Seen as Key to Fire Prevention

California utility spent more than \$2 billion on effort it says was ineffective; focus now is on power-line settings

By *Katherine Blunt* [Follow](#)

Aug. 2, 2023 5:30 am ET



PG&E began the so-called enhanced vegetation management in 2019, establishing 12 feet of clearance between branches and power lines. PHOTO: DAVID PAUL MORRIS/BLOOMBERG NEWS

The California utility company PG&E PCG 0.09% ▲ spent about \$2.5 billion on a yearslong effort aimed at reducing wildfire risk by cutting or clearing more than a million trees growing alongside power lines.

It now says that work was largely ineffective and is eliminating the program, according to an internal analysis reviewed by The Wall Street Journal and interviews with utility executives.

The strategy shift marks a calculated risk by the utility that new power-line settings will be more effective than the tree-trimming program that was put in place after a series of

devastating wildfires. The program, which the company called “enhanced vegetation management,” was meant to supplement routine tree-trimming work required by regulators.

The pivot was the subject of considerable debate among the company’s board of directors, according to people familiar with the matter, and has invited scrutiny from California regulators.



PG&E workers replacing equipment damaged by high winds in Santa Cruz, Calif., in January.
PHOTO: SHMUEL THALER/ASSOCIATED PRESS

The California utility giant says the program, which involved creating wide spaces between live wires and potentially hazardous trees, resulted in a 13% reduction in ignitions during periods when fire risk is highest, typically in autumn, according to the company’s internal analysis.

Measured across a full year, the work resulted in a 7% reduction in ignitions.

Instead, the company will rely more heavily on new power-line settings in areas at high risk of fire. The lines shut off within a tenth of a second when branches or other objects touch them, reducing the risk of sparks.

Industry officials say customers may experience more power outages in coming years if the

company's scaled-back approach to tree trimming results in more branches hitting wires. The company said it would work to assess outage-prone circuits and address the issues with targeted tree clearing and other safeguards.

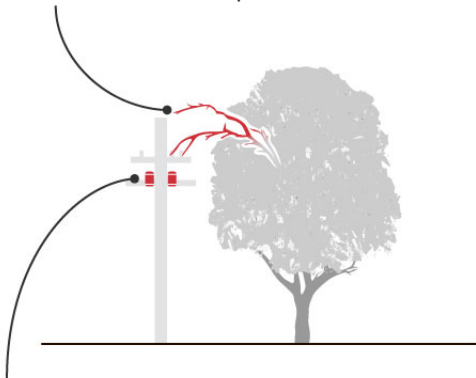
PG&E says the new approach will be both safer and less expensive as it works to permanently reduce wildfire risk by burying 10,000 miles of power lines in the coming years, an ambitious plan expected to cost at least \$20 billion. The company is challenged in its ability to raise capital following a complex bankruptcy restructuring and has been working to cut costs in order to fund the work.

The company expects to reduce tree-related spending by about \$1 billion between 2023 and 2026 as a result of discontinuing the program and, to a lesser extent, other plans to cut costs. The company plans to increase its overall wildfire-mitigation spending in the coming years as it buries more lines and takes other risk-reduction measures.

Shutting off a power line

PG&E is relying more heavily on new power line settings that stop the flow of electricity when an object touches a wire. The company last year saw a 68% reduction in ignitions on lines enabled with the technology.

- 1 A tree branch, or other object, falls onto a power line causing a disruption in the flow of power.



- 2 Equipment detects the change in the flow of power and shuts the line off within one-tenth of a second.

Sumeet Singh, PG&E's chief operating officer, said in an interview that the tree-trimming program was created using the best information the company had at the time, but that it fell short of the company's expectations, in part because of challenges in identifying hazards during the inspection process, particularly when a tree appears healthy and unlikely to fall.

"Assume any tree can fail at any point in time," he said. "When they fail, we have got to make sure the result is not a catastrophic outcome."

Still, the shift in strategy represents a big bet for PG&E. Through the discontinued program, the company identified roughly 385,000 potentially hazardous trees that have yet to be trimmed or cleared, and it is relying on its new power-line

Source: Pacific Gas and Electric
Jemal R. Brinson/THE WALL STREET JOURNAL

settings to prevent ignition if any of them touch its power lines.

PG&E saw a 68% reduction in ignitions on lines that shut off on contact in 2022, the first year the settings were fully deployed. The company is piloting a program to focus on tree clearance in what it calls "areas of concern," mostly heavily forested pockets of the Sierra Nevada foothills.

After its debate, the company's board ultimately agreed the new line settings negate the need for the same level of tree work as in years past, according to people familiar with the matter.

The new strategy is being scrutinized by regulators evaluating the company's latest spending plan, as well as a separate plan focused on reducing fire risk.

The California Office of Energy Infrastructure Safety, which evaluates the wildfire mitigation measures proposed by each of the state's large utilities, in June expressed concerns about PG&E's new tree strategy. The agency criticized the pace and scope of its proposed approach, including the company's plan for addressing its backlog of trees. Though it discontinued the program, the company said it would spend the next nine years working through the backlog in batches.

"Until the work is complete in nine years, these trees will continue to stand on the landscape representing known risk for ignitions," the department wrote.

PG&E says it will give priority to the riskiest trees for removal, inspect those that remain twice a year and work to determine whether the work can be completed faster than anticipated.

Caroline Jacobs, the department's director, said her office is now evaluating the data underlying PG&E's assertion that its enhanced tree work yielded such limited risk reduction.

"I was astonished at that number," she said, referring to PG&E's analysis. "If you're finding more potentially risky things, you have to imagine that there's then a reduction in the

number of times that stuff can blow into the lines."

Filsinger Energy Partners, a consulting firm that monitors PG&E's safety practices on behalf of the California Public Utilities Commission, said in an April report that it had requested more information about the company's analysis of its tree-trimming program, as well as the chance to see a third-party review of the data. Filsinger declined to comment.

PG&E, which serves a 70,000-square-mile territory in Northern and Central California, has for years been working to make its system safer after its power lines sparked a series of major wildfires that collectively killed more than 100 people in 2017 and 2018. Most of them ignited when trees or branches collided with its wires.

PG&E began the so-called enhanced vegetation management in 2019 as a means of accelerating tree-related risk reduction and exceeding state regulations in doing so. As part of the program, contractors established 12 feet of clearance between branches and power lines, more than the 4 feet regulations require, and took extra steps to inspect or clear trees with the potential to fall onto the wires.

The program drew the ire of many California residents unwilling to part with the trees on their properties. The company said the work was critical to public safety.

At the direction of the CPUC, the company spent much of 2021 and 2022 refining the program to focus on clearing trees along the highest-risk circuits. The cost of the program increased as PG&E found more potential hazards. The company trimmed or cleared more than 700,000 trees during those years.

Write to Katherine Blunt at katherine.blunt@wsj.com